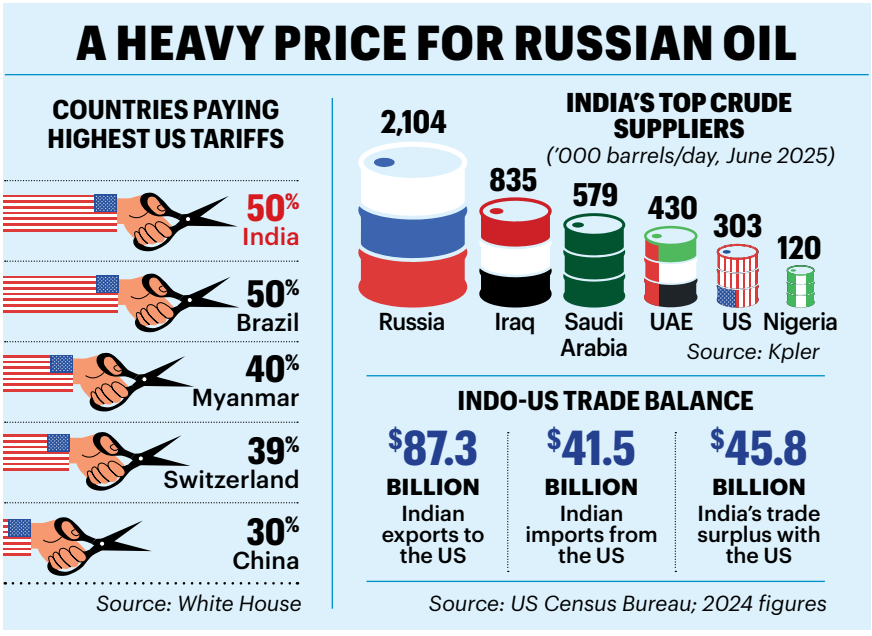
went ahead and imposed an additional 25 per cent ad valorem duty, to apply within 21 days, pushing the average duty on Indian exports to the US to 50 per cent. Along with Brazil, India now has the highest trade tariffs imposed on it, with even China, whom Trump regards as his archrival, facing tariffs of only up to 30 per cent.

The only saving grace for India is that key exports to the US, such as electronics, pharmaceuticals and petroleum products, which constitute around 40 per cent of India's total merchandise exports of $87.3 billion (approx. Rs 7.6 lakh crore), are still exempt from such tariffs. Nor is there any indication so far of Trump calling off trade negotiations with India, with the US team likely to visit New Delhi in the last week of August for the sixth round of talks to clinch a larger deal. This prompts Ajay Srivastava, founder, Global Trade Research Institute, and a former Indian trade negotiator, to say, "These are just pressure tactics that Trump is well known for. He is not fed up with India, otherwise he would announce the termination of the deal. I see this as a pause in the negotiations, a comma, not a full stop."

The Modi government, though, was understandably peeved with Trump speaking disparagingly of India and slamming it with such heavy tariffs even as he claimed that India was a "friend". India's response was measured but firm, with the Ministry of External Affairs (MEA) in a statement denouncing the 50 per cent hike as "unfair, unjustifiable and unreasonable", and that it would take "all actions necessary to protect India's national interests". But with the 25 per cent tariff coming into effect from August 7, Indian exporters were deeply concerned about their ability to absorb the hikes and remain competitive. The Federation of Indian Export Organisations (FIEO) described it as "a severe setback" that would impact over 55 per cent of Indian shipments to the US. Once the additional 25 per cent penalty tariff comes into effect, they fear, it could result in a 30-35 per cent competitive disadvantage vis-a-vis India's peers. The textile and apparel market is likely to be the one to feel the immediate impact, given the heavy competition it faces from China and Vietnam for the US market.



BOLT FROM THE BLUE

For India, Trump's hostile approach came as a nasty shock, as only this February, the US president had invited Modi to visit him at the White House and the two leaders exhibited a rare camaraderie, pledging to raise Indo-US ties to a new high. Both sides committed to pushing bilateral trade to a record $500 billion annually by 2030 from the current $212 billion (approx. Rs 18.6 lakh crore) and agreed to negotiate a comprehensive trade deal by Fall. The two countries also decided to enhance their strategic cooperation in defence as well as critical and emerging technologies. Trade negotiations began in earnest soon after and, till last month, there was talk of a mini-deal that would enable India to get a lower tariff from the blanket 26 per cent Trump had imposed on most countries that was to come into effect on August 1. India had indicated its willingness to lower its high tariffs on manufacturing and industrial goods that averaged 17 per cent as compared to the 2 per cent the US imposed on similar goods that India exported to it. But it baulked when the US insisted on India opening its agricultural and dairy sector to American farmers for crops such as maize and soya, besides butter and cheese.

Indian exporters fear the additional tariffs will result in a 30-35 per cent competitive disadvantage vis-a-vis their peers

India's agricultural concerns are twofold: one, US farmers use Genetically Modified (GM) crops that India has never permitted save cotton; two, with agriculture accounting for close to 40 per cent of the labour force in India, massive imports would result in job losses and be detrimental to the sector. As for US dairy products, India is concerned with the feed practices